United States Attorney's Office
Southern District of New York

PRESS RELEASE

William McFarland Pleads Guilty In Manhattan Federal Court To Defrauding Investors And A Ticket Vendor Of Over $26 Million

Tuesday, March 6, 2018

For Immediate Release

U.S. Attorney's Office, Southern District of New York

McFarland Engaged in a Scheme to Defraud over 80 Investors in Fyre Media Inc. and Fyre Festival LLC, as well as a Fyre Festival Ticket Vendor, Causing More Than $26 Million in Losses

Geoffrey S. Berman, the United States Attorney for the Southern District of New York, announced that WILLIAM McFARLAND pled guilty today to one count of wire fraud in connection with a scheme to defraud investors in a company controlled by McFARLAND, Fyre Media Inc. ("Fyre Media"), as well as its subsidiary ("Fyre Festival LLC"), which was formed to hold a music festival called the "Fyre Festival" (the "Festival") over two weekends in the Bahamas. McFarland also pled guilty to a second count of wire fraud in connection with a scheme to defraud a ticket vendor for the Festival. McFARLAND pled guilty before U.S. District Judge Naomi Reice Buchwald.

U.S. Attorney Geoffrey S. Berman said: "As he admitted today, William McFarland tendered fake documents to induce investors and a ticket vendor to put more than $26 million into his company and the disastrous Fyre Festival. He now awaits sentencing for his admitted swindle."

According to the complaint and Superseding Information to which McFARLAND pled, as well as statements made in court:

McFARLAND was the founder and chief executive officer of Fyre Media. In 2016, McFARLAND started Fyre Media to build a digital application that would allow individuals organizing commercial events, such as concerts, to bid for artist and celebrity bookings at such events. From at least in or about 2016, up to and including in or about May 2017, McFARLAND conducted a scheme to defraud individuals by inducing them to invest millions of dollars in Fyre Media. Through this scheme, McFARLAND caused losses to at least 80 victim-investors, totaling more than $24 million dollars. McFARLAND orchestrated this scheme through several means and methods.

McFARLAND repeatedly made materially false statements to investors about Fyre Media's revenue and income, and manipulated Fyre Media's financial statements and supporting documentation to hide Fyre Media's true financial condition. McFARLAND represented to investors that Fyre Media had earned millions of dollars of revenue solely from talent bookings; a review of Fyre Media's records shows that those numbers were significantly overstated. McFARLAND also provided falsified income statements to investors that purported to show that from approximately April 2016 to February 2017, Fyre Media had earned millions of dollars in income from talent bookings. In reality, Fyre Media's income from talent bookings from approximately May 2016 to April 2017 was only $57,443. In addition, McFARLAND provided falsified documents to investors showing over 2,500 confirmed talent bookings in a single month when, in fact, there were only 60 confirmed talent bookings in the entire year.

McFARLAND repeatedly made misrepresentations to investors designed to overstate Fyre Media's financial condition and stability. For example, McFARLAND told investors that a reputable venture capital firm (the "VC Firm") had completed its due diligence process and had decided to invest in Fyre Media. To the contrary, a VC Firm employee communicated to McFARLAND that the VC Firm would not invest in Fyre Media without first completing its due diligence, which the VC Firm had not done due to McFARLAND's failure to provide many of the requested Fyre Media documents.

In late 2016, McFARLAND established a subsidiary, Fyre Festival LLC, to hold a music festival called the "Fyre Festival" over two weekends in the Bahamas. McFARLAND made repeated misrepresentations to investors with respect to their investments in Fyre Festival LLC. McFARLAND overstated the Festival's receivables that he used as collateral for numerous investments to cover Festival expenses. McFARLAND also secured numerous investments in Fyre Festival LLC by claiming that investors would have the rights to payouts from Festival

event cancellation insurance policies when, in reality, no event cancellation insurance policies had been executed for the Festival. Ultimately, the Festival was canceled and widely deemed to have been a failure.

McFARLAND also repeatedly made materially false statements to investors about his own financial condition. For example, in order to induce several investors to make an investment in Fyre Media, McFARLAND provided an altered stock ownership statement to inflate the number of shares he purportedly owned in a publicly traded company, so that it would appear that McFARLAND could personally guarantee the investment. In addition, despite the fact that McFARLAND's applications to two banks ("Bank-1" and "Bank-2") for millions in personal loans had not been approved, McFARLAND misrepresented to investors that the monies from those bank loans could serve as collateral for their investments. On one occasion, McFARLAND sent an investor a snapshot of an email purporting to be from a Bank-1 banker ("Banker-1") to McFARLAND approving a $3 million dollar loan. Not only had Banker-1 not sent that email, Bank-1 had not approved McFARLAND's loan application.

McFarland also made materially false statements to certain of Fyre Media's investors about Magnises, a credit card and private club for millennials that was founded and run by McFARLAND as chief executive officer. McFARLAND told certain of Fyre Media's investors that he had sold Magnises for approximately $40 million and made a profit of several million dollars personally from the sale, when in reality, McFARLAND had not sold Magnises. McFARLAND also falsely stated to certain of Fyre Media's investors that specific individuals were the acquirers of Magnises, when in fact, they were not. McFarland also falsely stated to certain of Fyre Media's investors that a group of acquiring partners were forming a new company to purchase Magnises, when in fact, no such group existed.

In addition, in or about April 2017, McFARLAND defrauded a ticket vendor ("Vendor-1") by inducing Vendor-1 to pay $2 million for a block of advance tickets for future Festivals over the next three years. McFARLAND also provided Vendor-1 with a fraudulent income statement for Fyre Media that grossly inflated the Company's revenue and income.

* * *

McFARLAND, 26, of New York, New York, pled guilty to two counts of wire fraud, each of which carries a maximum sentence of 20 years in prison, and consented to a forfeiture order in the amount of $26,040,099.48.

The maximum potential sentences are prescribed by Congress and are provided here for informational purposes only, as any sentencing of the defendant will be determined by the judge.

Mr. Berman praised the investigative work of the Federal Bureau of Investigation's New York Field Office, and thanked the Securities and Exchange Commission for its assistance.

The case is being prosecuted by the Office's Complex Frauds and Cybercrime Unit. Assistant United States Attorneys Kristy J. Greenberg and Dina McLeod are in charge of the prosecution.

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Topic

FINANCIAL FRAUD

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